

Period ending	1 Year	2 Years	3 Years	4 Years	5 Years	6 Years	7 Years	8 Years	9 Years
S&P 500									
1983	22.8								15.6
1982	21.5	7.3	15.1	16.0	14.0	10.2	12.0	14.9	
1981	-5.0	12.0	14.2	12.2	8.1	10.5	14.0		
1980	32.5	25.3	18.7	11.7	14.0	17.5			
1979	18.6	12.4	5.5	9.8	14.8				
1978	6.6	-0.8	6.8	13.7					
1977	7.7	6.9	16.1						
1976	23.7	30.3							
1975	37.2								

[2. Important Rules Concerning Taxability of Investment Income and Security Transactions \(in 1972\)](#)

Editor's note: Due to extensive changes in the rules governing such transactions, the following document is presented here for historical purposes only. When first written by Benjamin Graham in 1972, all the information therein was correct. However, intervening developments have rendered this document inaccurate for today's purposes. Following Graham's original Appendix 2 is a revised and updated version of "The Basics of Investment Taxation," which brings the reader up-to-date on the relevant rules.

Rule 1—Interest and Dividends